

Passages - Advances in Financial Machine Learning

If a decade ago it was relatively common for an individual to discover macroscopic alpha (i.e., using simple mathematical tools like econometrics), currently the chances of that happening are quickly converging to zero. Individuals searching nowadays for macroscopic alpha, regardless of their experience or knowledge, are fighting overwhelming odds. The only true alpha left is microscopic, and finding it requires capital-intensive industrial methods. Just like with gold, microscopic alpha does not mean smaller overall profits. Microscopic alpha today is much more abundant than macroscopic alpha has ever been in history. There is a lot of money to be made, but you will need to use heavy ML tools.

You could think of analytics as derivative data,

A positive aspect of analytics is that the signal has been extracted for you from a raw source. The negative aspects are that analytics may be costly, the methodology used in their production may be biased or opaque, and you will not be the sole consumer.